Life application task

Key objective: Learn how changes in variables will impact the amount of money you need to save for retirement.

1. Go to https://www.nerdwallet.com/investing/retirement-calculator

2. Input your expected age at graduation, your expected salary when you start your career, your current retirement savings (if any). Note the default savings rate is 10% of the salary you input (again, experts suggest 12-15%), but you can change it if you want. Please note you'll have to click your cursor to update the results.

3. Click on "Optional" and take note of the other data affecting the calculations and the DEFAULT values they've used. List them in the chart below in the Scenario #1 column, along with the results shown on the right in the column charts: 1) The amount of money you will have, 2) The amount of money you'll need, and 3) How far (%) your plan takes you towards your goal.

Variable	Scenario #1 (Original)	Scenario #2	Scenario #3	Scenario #4 (with added SS)
Save every month (%)	10	13	13	13
Monthly spending (%)	70	70	75	70
Other Income (SS or work)	0	0	0	2877
Age you want to retire	67	67	67	67
Life expectancy	95	95	95	95
Investment rate of return (%)	6% - Pre 5% - Post	6% - Pre 5% - Post	6% - Pre 5% - Post	6% - Pre 5% - Post
How much you'll HAVE	2,298,658	2,979,501	2,979,501	2,979,501
How much you'll NEED	2,790,321	2,790,321	2,989,629	115,407
% TOWARD GOAL	82.4%	107%	99.7%	258.2%

4. Try Scenario #2: Change ONE of the variables and note the changes to the results.
5. Try Scenario #3: Change ANOTHER variable and note the changes to the results.
6. For Scenario #4: Immediately following the calculator, you'll see the "How we got here" and "Using this retirement calculator" section. In that section you'll find a hyperlink to get an estimate of your monthly social security benefits beginning at age 62. Follow the link and answer the questions (NOTE: For some reason, SS won't even give you an estimate if your birthdate makes you younger than 21 years old. Just fudge the date back to 2000 as a birth year.) Use what you estimate your salary will be directly out of college. Don't go any higher than $160,200 per year, since that's currently the cap for SS

tax. Also, use the "in today's dollars" rather than inflation-adjusted dollars to keep it on par with the retirement calculator. What are your estimated monthly benefits? $2877 @ 62 y/o, $4110 @67

Now input those estimated benefits into the retirement calculator and record under Scenario #4.

7. Finally, we'll try a different calculator https://www.bankrate.com/retirement/calculators/retirement-plan-calculator/ that shows the same basic information from a different perspective. At the bottom of the sliders, notice the assumptions that are used for investment returns, inflation, and social security.

8. Type in, or use the slider to match your ORIGINAL scenario from the chart above. How much does your plan provide? 2,271,476.79 At what age would you run out of money? I won't!

9. Now click the "edit" button (pencil icon) next to the investment returns, inflation, and Social security assumptions. Leave everything as is, except check the "include social security" box. Now when are you projected to run out of money? I won't! Or, if social security was already the default, uncheck it to see when you would run out of money if you don't collect social security. N/A

10. Final thoughts: What is your overall take-away from this life application activity?

Through this activity, I see that I need to start planning for retirement as soon as possible. I played around with the calculators and set the age I start saving to higher and higher values and saw how much that made a difference. Seeing how much this age impacts my retired life, I will start to save for retirement as soon as I have a stable income. It is also reassuring to see how much SS helps towards retirement, but it is also important to see that the SS does not cover the entirety of retirement. I am less worried about retirement after doing this activity, but still know I need to put in the work to get there and life a happy retired life.